FRANCHISE READINESS REPORT

# Chai Junction

Food & Beverage · 3 outlets · Coimbatore and Madurai · October 2026

**This is a sample.** Chai Junction is a fictional business, invented to show what the Franchise Readiness Report produces. Every figure is made up. No real brand's answers appear anywhere in this document.

YOUR FRANCHISE READINESS SCORE

**68.8** / 100

FINAL · DOES NOT CHANGE

ALMOST READY

Seven pillars, each weighted by how much it decides franchise success rather than business success. The full set of answers places you at 68.8.

NOT YET | EARLY | **ALMOST** | READY | SCALE

This report is based on the **45 answers** you gave us — 11 in the free assessment, 34 in the full questionnaire — assessed against seven pillars that decide whether a business can be franchised successfully. It is a diagnosis: it tells you where you stand on each pillar, which gaps cost you most, and what those gaps mean in practice. It does not tell you what to do about them — that needs financial detail this assessment did not ask for.

Nothing here is a judgement on your business as a business. Franchise readiness measures something narrower: whether what you have built can be reproduced by someone else, in a place you are not, to a standard you would recognise.

YOUR SCORE
**68.8 / 100**
Almost Ready

COSTLIEST GAP
**Profit & Payback**
Scored 60.0, at 20% of your result.

STRONGEST PILLAR
**Systems**
Scored 90.0, at 20% of your result.

MUST RESOLVE
**2 items**
Your business entity and your licences.

WHAT IS INSIDE

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## 01 The One Thing We Would Tell You First

Everything else in this report is secondary to this.

**People are asking to buy a franchise you have not designed.**

Between sixteen and forty people approached you about a franchise last year, without you advertising one. Your outlets run on written procedures, standardised systems and a team that makes its own decisions. By every operational measure you are ready to answer those people.

And you have **no partner profile, no selection process, no territory terms, no fee, no royalty, and no decision on who owns the outlet**. There is nothing to say yes with.

That combination — strong demand, no structure — is the most expensive position in this assessment, and it is expensive in a way that does not show up for about two years. The first partner is chosen in a conversation, because there is no standard to apply. The terms are agreed in the room, because none were written. And every partner afterwards is recruited against whatever that first deal turned out to be.

**Why this comes first:** every other gap in this report can be closed after a partner signs. This one cannot. Your operations are the hard part and they are already built — which means the only thing standing between you and a network is a set of decisions you could make in a fortnight, and have not yet made. **Make them before you answer the next enquiry, not after.**

## 02 Where Else Your Answers Disagree

Four more places where two of your answers point in different directions. None of them is scored twice — we score what you told us. But each one is something an investor's diligence will find, so you should see it here first.

### LONG PROFITABLE, THIN AT THE MARGIN

You have been **profitable for more than two years**, at a company margin of **9%**. The first is the strongest thing in your unit economics; the second is the constraint on it. A partner earns from the same model you do, from one outlet, without your buying power — and pays a fee and a royalty out of it. A margin at this level does not rule franchising out. It decides how much room there is to set a royalty, which is a decision you have not made yet.

### BETTER THAN IT SCORES

You told us demand is only **partly validated by data**. You also told us you track footfall and customer count **systematically**, across three outlets in two cities. If the tracking is systematic and the outlets are plural, the comparison that would validate demand already exists in your own records — it has not been assembled. Your Market Proof score reflects evidence you have not put together, not evidence you do not have.

### THE CAPABILITY EXISTS; NOBODY OWNS IT

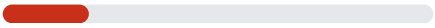
You told us marketing support **is available to outlets**, and that there is **a team member beyond you** capable of supporting franchise operations. You also told us there is **no named person or team accountable for franchisee support after launch**. The capacity is built and unassigned. With three outlets of your own that gap does not show, because everything unresolved reaches you. The first partner who needs something will find out which of your people owns it, and so will you.

### THE DOCUMENT IS AHEAD OF THE STRUCTURE

You have a **franchise agreement template in draft**. You also told us the business entity is **not structured in a way that can legally support franchising**. The contract exists; the entity that would sign it does not yet. This is dealt with in Section 05.

## 03 How Your Score Is Built

Each pillar is scored out of 100 from your own answers, then weighted. Unit Economics and Operational Repeatability carry the most weight because they are the two things a franchise owner is actually buying: a model whose numbers work, and a system they can reproduce.

| PILLAR | SCORE OUT OF 100 | SCORE | WEIGHT | STATUS |
|---|---|---|---|---|
| Systems<br>Operational Repeatability |  | **90.0** | 20% weight | Good |
| Your Role<br>Founder & Leadership Readiness |  | **88.0** | 15% weight | Good |
| Brand Pull<br>Brand Positioning Strength |  | **76.0** | 10% weight | Good |
| Support<br>Support Infrastructure |  | **66.7** | 15% weight | Average |
| Profit & Payback<br>Unit Economics |  | **60.0** | 20% weight | Average |
| Market Proof<br>Market Readiness |  | **53.3** | 12% weight | Average |
| Right Partner<br>Partner Profile Definition |  | **20.0** | 8% weight | Weak |

Bars show each pillar's score out of 100. Ranking is by what the gap costs, which is the score and the weight together — so a lower bar is not always a higher-ranked gap.

Legal and IP readiness is assessed separately rather than scored — see Section 05.

**Against your free result**

Your Audit range was **57 to 74**, built from eleven questions. The full 45 place you at **68.8** — inside that range, a little above its midpoint.

Four answers moved it down: no franchisee selection process, no territory or exclusivity terms, no site-selection criteria, and no city or territory rollout sequence. Four moved it up: a standardised POS and tech stack, a defined quality-control process, seventy-five of the last ninety days running without you, and a brand identity manual with twelve hundred reviews behind it.

**On the band.** 68.8 sits in the upper half of Almost Ready — **8.8 points above the level below and 6.2 below Ready to Plan**. We give you both distances rather than only the flattering one. The ranked gaps in Section 04 show where that remaining distance actually sits.

## 04 Your Gaps, Ranked by What They Cost

**These gaps are ordered by what they cost you, not by which score is lowest.**

A weakness in a pillar carrying 20% of the assessment holds you back more than a larger weakness in one carrying 8%. So your lowest score may not appear first — what appears first is whatever is doing the most damage to your overall readiness.

Your clearest example: **Right Partner scored 20.0**, the lowest of the seven — and it still ranks second, not first, because it carries 8%. **Profit & Payback scored 60.0**, far higher, and ranks first, because it carries 20%. Working through them in this order recovers the most ground for the least effort.

**1** Profit & Payback Unit Economics · 20% weight · scored 60.0 MODERATE

Your economics work for an outlet you own, but have not been modelled for one that pays you a fee and a royalty — so the offer's real return is not yet known.

**2** Right Partner Partner Profile Definition · 8% weight · scored 20.0 MAJOR

There is no written partner profile, no selection process and no territory terms — so the first partner would be chosen in a conversation and the deal agreed in the room, and every partner afterwards is recruited against whatever that one turned out to be.

**3** Market Proof Market Readiness · 12% weight · scored 53.3 MODERATE

The model works in more than one place, but no one has established which characteristics of a location are necessary and which are incidental — so a partner's site is assessed on instinct rather than against a standard.

**4** Support Support Infrastructure · 15% weight · scored 66.7 MODERATE

Support currently depends on your personal availability, which caps the network at whatever your time allows and reaches that limit sooner than expected.

**5** Brand Pull Brand Positioning Strength · 10% weight · scored 76.0 MINOR

The brand pulls and the evidence is public, but what it promises has never been written down — so each new outlet would deliver its operator's interpretation of it rather than yours.

The bar shows relative cost — the pillar's weight multiplied by its distance from 100.

## 05 Non-Negotiables

These are separate from your score because they are not weaknesses to be improved — they are conditions to be met. A business can score well on all seven pillars and still be unable to franchise until these are resolved. They are listed whether or not they affected your band, because each one surfaces during an investor's due diligence.

MUST RESOLVE — HARDEST STOP IN THIS REPORT

**The business entity is not structured to support franchising.** A franchise agreement grants rights the signing entity has to actually hold: the brand, the system, the right to license both and to define a territory. If the entity cannot grant them, the agreement is unenforceable in exactly the part that matters. Until this is settled, partner conversations can be held but cannot be closed — and a partner who signs against a structure that is later changed has grounds to revisit everything.

MUST RESOLVE

**Your statutory licences are not current, or could not be obtained again in a new location.** That single answer covers two very different problems — something lapsed here, or a new location facing a requirement you cannot yet meet — and only one is urgent. Whichever it is, a partner's launch date is set by whichever permission takes longest. An unknown at this stage becomes their delay and your reputation.

IN PROGRESS

**A trademark application is filed and not yet registered.** This is a materially different position from having none, and worth stating as such: the claim is lodged and dated. What it does not yet give you is the right to stop someone else using the name, and a partner's lawyer will ask when registration is expected before relying on it.

IN PROGRESS

**A franchise agreement exists in part.** A partial agreement is usually a document drafted for something else — a distributor, a licensee, a single early partner — being carried forward because it is what exists. The clauses a franchise turns on are the ones most often absent from it: territory, term, renewal, transfer, what happens when it ends. Worth knowing which of those your draft already answers before a partner's lawyer finds out for you.

CLEAR

**No active disputes** over brand ownership, IP or an existing partner. The most common hard blocker to franchising is not present.

## 06 The Seven Pillars, in Writing

Each pillar below carries your score, what that score looks like in practice, why it matters for franchising specifically, and what the next level up looks like. The answers each score was built from are listed at the foot of every block.

### Profit & Payback

*Unit Economics — Does the maths actually work for a franchisee?*

**60.0**

20% OF SCORE · AVERAGE

The economics work, but thinly. The business is profitable and has been for some time, and that is not nothing — most brands reaching this question are not. What is missing is headroom: a margin at this level covers the outlet and the owner, and leaves little between the two once a brand fee and a royalty are added.

This matters because a franchise partner's return is what is left after they pay you, not what the outlet earns. At a thin margin, the royalty and the partner's return come out of the same narrow band — and the negotiation you will have is not about the rate but about whether there is enough there for both of you.

Businesses at the next level have margin enough that the brand's share is affordable rather than contested.

WHAT YOU TOLD US

COMPANY EBITDA MARGIN 9% · PROFITABILITY TRACK RECORD Profitable for 2+ years · DEBT, ENCUMBRANCES AND GUARANTEES Manageable · INVESTMENT ASK BENCHMARKED Informally · *Audit* OUTLET PAYBACK PERIOD 18–24 months · *Audit* OUTLET OPERATING MARGIN 10–15%

## Systems

*Operational Repeatability — Can someone else run this the way you do?*

**90.0**

20% OF SCORE · GOOD

Operations are genuinely repeatable. Procedures are written, most workflows are documented, the systems are standardised across outlets, and there is a defined check rather than reliance on the founder noticing. This is the strongest position in this assessment and it was built before it was needed.

For franchising this is the asset that matters most and the one most brands lack. A partner is buying the ability to produce your result without your judgement, and that ability is what documentation and a working audit actually are.

What remains is narrower than it looks: the handful of decisions that still depend on experience rather than instruction, and whether the audit catches drift early enough to correct it rather than record it.

WHAT YOU TOLD US

**POS, INVENTORY AND TECH HANDOVER** Yes · **DEFINED QUALITY CHECK** Yes · **SUPPLY CHAIN READINESS** Contracted suppliers with defined rates and delivery terms, able to serve new locations with some lead time. · **CONSISTENCY ACROSS OUTLETS** Outlets run to the same written standard, and where they differ it is an exception we can explain. · *Audit* **WRITTEN OPERATING PROCEDURES** Yes · *Audit* **CORE WORKFLOWS WITH AN SOP** Most

## Support

*Support Infrastructure — Can you support a franchise owner once they have signed?*

**66.7**

15% OF SCORE · AVERAGE

Support structures exist but are not yet complete — commonly training is defined while ongoing support is reactive, or marketing support is offered without a clear scope of what a franchise owner can expect. A partner joining now would be supported, though the terms of that support would be discovered rather than stated.

For franchising, undefined support becomes a source of friction rather than failure. Partners form expectations from what they were told during the sale, and the gap between that and what is delivered is where most partner relationships sour.

Businesses at the next level have support commitments defined explicitly enough that both sides know what was promised.

WHAT YOU TOLD US

**INITIAL TRAINING DURATION** Less than 3 days · **MARKETING SUPPORT CAPABILITY** Yes · **NAMED SUPPORT OWNER AFTER LAUNCH** No · **SUPPORT CAPACITY BEYOND THE FOUNDER** Yes · **LEADERSHIP HOURS IN YEAR ONE** 20–30 · *Audit* **STRUCTURED TRAINING PROGRAMME** Partially

## Your Role

*Founder & Leadership Readiness — Does the business run without you in the room?*

**88.0**

15% OF SCORE · GOOD

The business runs without you to a degree most founders never reach. Operations are delegated, decisions sit with the team, and the recent record shows it holding in practice rather than in principle.

This matters for franchising in a way founders rarely anticipate. Supporting partners is itself a demand on founder time, and it arrives on top of whatever already exists. A founder still central to daily operations has no capacity to absorb it; you do.

The question at this level is no longer whether you can step back, but what you will step into. The time freed is the capacity that supports your first partners, and it only helps if it is deliberately pointed there.

WHAT YOU TOLD US

**WILLINGNESS TO FIX INFORMAL PROCESS** Standardisation is already underway as a deliberate project — the goal is that anyone trained can reproduce our result. · **DEPENDENCE ON PERSONAL FUNDS** The business funds its own operations and most of its growth. · **CONSISTENCY IN YOUR ABSENCE** Consistent across routine and non-routine situations. · **DAYS OPERATING WITHOUT YOU** 75 of 90 days · *Audit* **DECISION-MAKING AUTHORITY** The team makes most day-to-day decisions

## Market Proof

**53.3**

*Market Readiness — Is there evidence people want this beyond where you already are?*

12% OF SCORE · AVERAGE

The model has travelled, but not far. More than one location works, which rules out the possibility that success was a single site with a single catchment — and that is a real finding. What has not been established is why it works, in terms precise enough to repeat deliberately.

For franchising the distinction matters. A partner is buying the claim that the model performs in their location. Outlets that work in neighbouring cities support that claim; they do not yet prove it, because the brand is known in both and the founder is reachable from both.

Businesses at the next level can say which characteristics of a location are necessary and which are incidental — and can therefore tell a partner whether their site will work before the lease is signed.

WHAT YOU TOLD US

DEMAND VALIDATED BY DATA Partially · SITE SELECTION CRITERIA No · CITY OR TERRITORY ROLLOUT SEQUENCE No · OUTLETS TRADING 3 · FOOTFALL TRACKED PER OUTLET Systematically · *Audit* CITIES THE MODEL IS TESTED IN 2–3

## Brand Pull

**76.0**

*Brand Positioning Strength — Does your brand pull the right partners toward you?*

10% OF SCORE · GOOD

The brand has genuine pull. Ratings are strong across outlets, the review volume is substantial enough to be evidence rather than anecdote, and — the strongest signal of the three — people are asking about a franchise without being asked.

Unprompted franchise enquiries are the hardest thing in this assessment to manufacture. Most brands spend two years and a marketing budget trying to create the demand you already have, and arrive at their first partner conversation having to persuade rather than select.

The gap at this level is not demand but definition: what the brand promises, written down, so that a partner delivers the thing customers are actually coming for rather than their own interpretation of it.

WHAT YOU TOLD US

BRAND IDENTITY MANUAL Yes · AVERAGE GOOGLE RATING 4.5 · TOTAL GOOGLE REVIEWS 1,200 · BRAND PROMISE DEFINED The brand promise is defined and my team can state it, though how consistently it is delivered varies. · *Audit* UNPROMPTED FRANCHISE ENQUIRIES 16–40

## Right Partner

**20.0**

*Partner Profile Definition — Do you know who should run your next outlet — and how you would screen them?*

8% OF SCORE · WEAK

There is no defined partner. No written profile, no selection process, no territory terms, and no decision yet on the ownership model — so there is currently no answer to the question of who should be running your next outlet.

This is the gap that costs most and shows least. Everything else in this report can be fixed after a partner signs; the choice of partner cannot. A brand with strong operations and the wrong first franchisee spends two years managing a relationship instead of building a network, and every prospective partner afterwards asks to speak to that one.

The next level up is not sophistication — it is simply having decided, in writing, who qualifies and who does not, before the next person asks.

WHAT YOU TOLD US

FRANCHISEE SELECTION PROCESS No · TERRITORY RIGHTS AND EXCLUSIVITY No · COMPLETENESS OF THE OFFER I would describe the business opportunity, but not the specifics of what the brand provides in return. · OWNER-OPERATOR OR INVESTOR-OPERATOR Undecided · FRANCHISE FEE AND ROYALTY STRUCTURE No · *Audit* IDEAL PARTNER PROFILE No

## 07 Where You Sit on the Readiness Ladder

This is not a ranking against other brands. It is the standard every business is measured against, and it shows what a brand at each level typically looks like.

| | |
|---|---|
| Ready to Scale | Proven numbers, documented systems and the capacity to support partners. The main risk is growing faster than support can follow. |
| Ready to Plan | Strong foundations. The questions now are model, fee, territory and partner selection — not whether to franchise. |
| **YOU ARE HERE · 68.8**<br>**Almost Ready** | Franchisable, but with conditions to settle before partners join. Skipping them is usually paid for by the first franchise owner. |
| Early Stage | A working business with real customers. What is missing is the documentation, systems or support capacity someone else would need. |
| Not Yet Ready | The business works, but it depends on the founder and is not yet written down. Franchising now would put a partner at risk. |

The ladder describes where a business stands, not how long it takes to move. That depends on which gaps you close and in what order.

In the Audit your range spanned two levels. With the full answer set your position is single and settled: **Almost Ready**, at 68.8 — in the upper half of the level, with 6.2 points still between you and the one above.

## 08 How You Compare in Your Category

We have not yet closed enough deals in the chai and quick-service café format to offer you a category comparison, and we would rather say so than benchmark you against two or three businesses and present it as a pattern. Your assessment is unaffected — the seven pillars apply whatever the category. What is missing is the context of how businesses like yours typically compare, and we will have it as our deal history here grows.

**One pattern does hold across every category we work in, and it applies to you.** Brands reach their first franchise conversation in one of two shapes: more geography than documentation, or more documentation than geography. You are the second. It is the less common shape and the more recoverable one — a second location can be opened in a quarter, whereas writing down two years of accumulated practice usually takes longer than founders expect. What your answers add to that is a third element neither shape accounts for: the numbers underneath both still need settling.

Comparison is drawn from brands we have worked with in the same category. Where too few exist to compare fairly, this section says so rather than inventing a benchmark.

## 09 What This Report Does Not Include

This assessment diagnoses. It deliberately stops short of five things:

- **A franchisee economics model** — what a partner would actually earn after paying your fee and royalty, and how long their money takes to come back
- **Fee and royalty benchmarking** — how your structure compares with comparable formats in your category
- **A franchise model recommendation** — which operating structure suits this business, and why
- **A correction roadmap** — what to address, in what order, and within what timeframe

- **Territory logic** — which markets to enter, in what sequence, with what exclusivity

These are excluded because doing them properly needs financial and strategic detail this assessment did not ask for — franchisee investment, fee structure, royalty, revenue, and your own intentions for the business over the next three years. We would rather leave them out than estimate them.

## 10 What Comes Next

### The Franchise Readiness Roadmap

A further round of questions, most of them financial. Your answers so far carry over — nothing is asked twice.

- **A franchisee economics model** — what a partner actually earns after paying your fee and royalty, and how long their money takes to come back
- **Fee and royalty benchmarking** — how your structure compares with comparable formats in your category
- **A franchise model recommendation** — FOFO, FOCO or another structure, and why it suits this business
- **A correction roadmap** — what to address, in what order, and within what timeframe
- **Territory logic** — which markets to enter, in what sequence, with what exclusivity

The centre of it is the franchisee economics model: your investment, fee, royalty and revenue figures worked through to show what a partner actually earns and how long their payback runs. That calculation is rated separately from your Readiness Score, and the two frequently disagree — a business can be broadly ready to franchise while the specific deal it is offering does not pay back fast enough to attract good partners. Knowing which of those you are is usually worth more than the score itself.

**₹5,999** + 18% GST

₹7,079 payable

Ronak reviews and signs off every Roadmap before it reaches you. None goes out automatically.

**Tell me about the Roadmap**

The Roadmap opens shortly. Register now and we will come to you first.

Questions about anything in this report — reply to the email it came with, or write to **bd@corpculture.co**.



WHO CONDUCTS YOUR AUDIT

**Ronak Patel**

**Founder & CEO, Corporate Culture**

Ronak read this Report and signed it off before it reached you. None goes out automatically.

Corporate Culture has worked with consumer brands across F&B, retail, lifestyle, wellness and education — helping them scale with structure, funding access and long-term expansion clarity. The seven-pillar framework behind this assessment comes from those engagements, and every report is reviewed personally by Ronak.

| ₹100+ Cr | 500+ | 50+ | 20+ |
|---|---|---|---|
| INVESTMENTS FACILITATED | FRANCHISE DEALS | BRANDS SCALED | YEARS OF EXPERTISE |

This report is based on the answers you provided across the free assessment and the full questionnaire. It is a decision-support tool, not a guarantee of franchise success.

Corporate Culture is a brand of Blue Bird Ventures · corpculture.co · bd@corpculture.co · +91 8072 830 857